The solution to this should be obvious, if you have paid attention to the section early in this book where we discuss position sizing. The key is to use volatility adjusted stop distances, and since we have already calculated the average true range for the position sizing, we can use the same for the distance. Remember how we used the ATR as a simple proxy for volatility. There is, of course, nothing wrong with using standard deviation of returns, but let's use what we already have.

The ATR tells us what kind of price range to expect from a market in an average day, so conceptually we could use that to define how many normal days' worth of performance we are willing to give back. The first edition of this book used a stop distance of 3 ATR units, and we would then always give back three daily price ranges before stopping out.

Figure 9.3 demonstrates the principle, showing a bull market trend in the natural gas market. We see here how the price breaks out into a new bull trend in April, where our trend-following approach would then go long. This position would be kept as the price advances, and the stop keeps being moved higher and higher. As the price turns back down in early July, the stop is quickly hit and we exit the position.

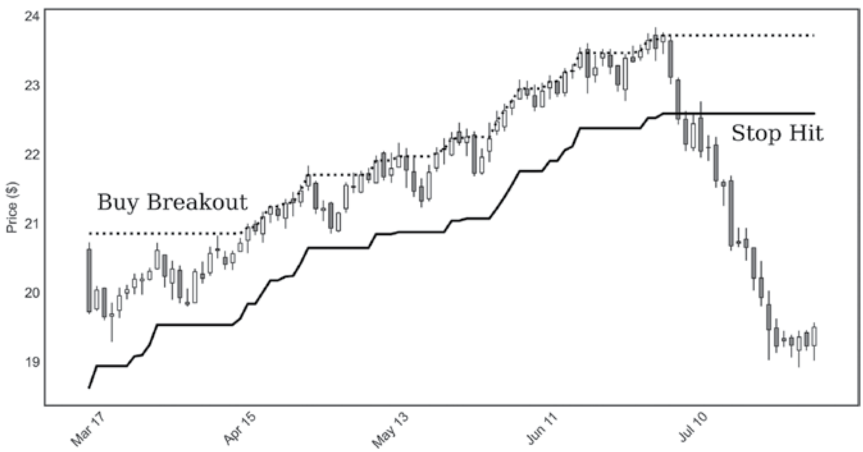

FIGURE 9.3 **Trailing volatility stop loss.**